

Chapter 16

HIGH GRADE BONDS

The first five pages of this section are for those who are interested in some of the details of previous forecasts. Others may skip to the section entitled **ANALYSIS**.

PERSPECTIVE

The Tidal Wave Bottom in Bond Prices

From 1977 to March 24, 1980, short term interest rates rose in a channelable five-wave structure. The fourth wave was a contracting triangle, typical of the fourth wave position, and gave the call for a top added reliability. *The Elliott Wave Theorist* recognized the orthodox peak in short term debt yields in the April 6, 1980 issue, with this emphatic statement:

For several months, I have been anticipating this burst in short term interest rates, expecting it to be the final rise to new highs. Elliott Wave analysis now suggests that U.S. short term interest rates, after a prolonged advance lasting over three years, are registering their final peak. The chart shows the long ascent of the return on 90-day Treasury bills in a clear five-wave pattern with an extended first wave.

Figure 16-1 is the chart shown at the time. That juncture marked the orthodox *top* for interest rates and the orthodox *bottom* for Treasury bond prices.

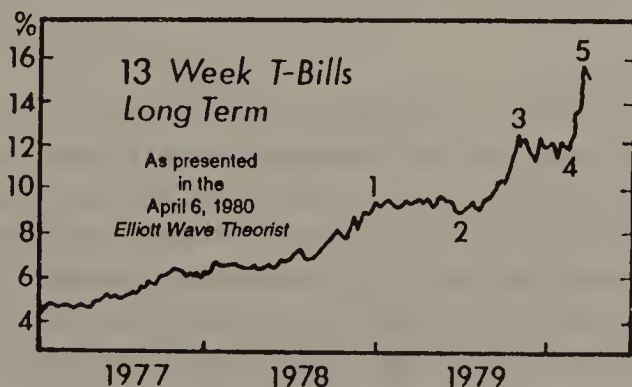


Figure 16-1